



JIGDAN COLLEGE

Department of Management

Model Exam 1

Time Allowed 3 hrs.

**Compiled by Samson Worku
(Ph. d Candidate, MBA, MA, COC Certified)**

Instruction: Choose the best answer from the given alternatives.

1. All of the following are accurate descriptions of modern marketing, EXCEPT which one?
 - A. Marketing is the creation of value for customers
 - B. Marketing is managing profitable customer relationships
 - C. Selling and advertising are synonymous with marketing
 - D. Marketing involves satisfying customers' needs
 - E. Marketing is used by for-profit and not-for-profit organizations
2. According to management guru Peter Drucker, "The aim of marketing is to _____."
 - A. Create customer value
 - B. Identify customer demands
 - C. Make selling unnecessary
 - D. Set realistic customer expectations
 - E. Sell products
3. _____ is defined as a social and managerial process by which individuals and organizations obtain what they need and want through value creation and exchange.
 - A. Selling
 - B. Advertising
 - C. Bartering
 - D. Marketing
 - E. Negotiating
4. According to the simple five-step model of the marketing process, a company needs to _____ before designing a customer-driven marketing strategy.
 - A. Determine how to deliver superior value
 - B. Build profitable relationships with customers
 - C. Use customer relationship management to create full partnerships with key customers
 - D. Understand the marketplace and customer needs and wants
 - E. Construct key components of a marketing program
5. _____ are human needs as shaped by individual personality and culture.
 - A. Needs
 - B. Wants
 - C. Demands
 - D. Values
 - E. Exchanges
6. When backed by buying power, wants become _____.
 - A. Social needs
 - B. Demands
 - C. Physical needs
 - D. Self-esteem needs
 - E. Exchanges
7. _____ is the act of obtaining a desired object from someone by offering something in return.
 - A. A value proposition
 - B. Exchange
 - C. Bribery
 - D. Value creation
 - E. Donation
8. A(n) _____ is the set of actual and potential buyers of a product.
 - A. Market
 - B. Audience
 - C. Group
 - D. Segment
 - E. Exchange
9. Consumer research, product development, communication, distribution, pricing, and service are all core _____ activities.
 - A. Exchange
 - B. Marketing
 - C. Management
 - D. Production
10. In the case of excess demand, _____ may be required to reduce the number of customers or to shift demand temporarily or permanently.
 - A. Marketing
 - B. Demarketing
 - C. Value marketing
 - D. Surplusing
 - E. Negotiating
11. The art and science of choosing target markets and building profitable relationships with them is called
 - A. Marketing management
 - B. Positioning
 - C. Segmentation
 - D. Selling
 - E. Differentiation

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12. Selecting which segments of a population of customers to serve is called _____.
A. Market segmentation
B. Positioning
C. Customization
D. Target marketing
E. Managing the marketing effort
13. Which of the following marketing management orientations focuses primarily on improving efficiencies along the supply chain?
A. Production concept
B. Product concept
C. Selling concept
D. Marketing concept
E. Social marketing concept
14. The _____ concept is aligned with the philosophy of continuous product improvement and the belief that customers will choose products that offer the most in quality, performance, and innovative features.
A. Product B. Production C. Customer D. Marketing E. Promotion
15. "Build a better mousetrap and the world will beat a path to your door" reflects the _____ concept.
A. Production B. Marketing C. Selling D. Product E. Target marketing
16. Which concept calls for aggressive selling and focuses on generating transactions to obtain profitable sales?
A. Marketing B. Production C. Product D. Selling E. Societal marketing
17. Which concept holds that achieving organizational goals depends on knowing the needs and wants of target markets and delivering the desired satisfactions better than competitors do?
A. Product B. Production C. Selling D. Marketing E. Equity
18. Customer-driven marketing usually works well when _____ and when customers _____.
A. A clear need exists; are difficult to identify
B. Customers know what they want; are loyal to the brand
C. A firm can deliver the goods desired; are thoroughly researched
D. A clear need exists; know what they want
E. A need exists; don't know what they want
19. Marie Ortiz enjoys her work at Futuristic Designs, Inc. Her organization understands and anticipates customer needs even better than customers themselves do and creates products and services to meet current and future wants and demands. Marie's firm practices _____ marketing.
A. Customer-driven B. Customer-driving C. Relationship D. Donor E. Social
20. Which concept holds that firms must strive to deliver value to customers in a way that maintains or improves the consumer's and society's well-being?
A. Marketing B. Selling C. Product D. Societal marketing E. Equity
21. The set of marketing tools a firm uses to implement its marketing strategy is called the _____.
A. Promotion mix B. Product mix C. Marketing mix D. TQM E. Marketing effort
22. Of the following, which is the most important concept of modern marketing?
A. Customer relationship management C. Consumer-generated marketing
B. Societal marketing D. Properly trained salespeople E. Low prices

23. Building, keeping, and growing profitable relationships by delivering customer value and satisfaction is called _____.
A. Customer lifetime value
B. Customer perceived value
C. Customer relationship management
D. Database marketing
E. Societal marketing
24. Which of the following has NOT contributed to the deeper, more interactive nature of today's customer relationships?
A. E-mail
B. Web sites
C. Online social networks
D. Traditional advertising
E. Video sharing
25. In today's world, marketing should be done by _____ employees in an organization.
A. Only marketing
B. Only marketing, sales, and customer-support
C. Only sales and technology
D. Only management and marketing
E. All of the above
26. Through _____, many companies today are strengthening their connections to all partners, from providers of raw materials to components to final products that are delivered to final buyers.
A. Supply chain management
B. Direct marketing
C. Partnership relationship marketing
D. Customized marketing
E. Equity marketing
27. Which of the following is currently the fastest-growing form of marketing?
A. Consumer-generated marketing
B. Online marketing
C. Mass media marketing
D. Social marketing
E. Word-of-mouth marketing
28. You are directed to study the actors close to the company that affect its ability to serve its customers-departments within the company, suppliers, marketing intermediaries, customer markets, competitors, and publics. What are you studying?
A. The macro-environment
B. The microenvironment
C. The marketing environment
D. The demographic environment
E. The global environment
29. You are directed to study the demographic, economic, natural, technological, political, and cultural factors that are larger societal forces affecting your company. What are you studying?
A. The macro-environment
B. The microenvironment
C. The external environment
D. The marketing mix
E. The global environment

30. Which type of organization helps companies to stock and move goods from their points of origin to their destination?
- A. Financial intermediaries C. Marketing services agencies
B. Physical distribution firms D. Resellers E. Suppliers
31. Which one of the following statements is not correct?
- A. Management is a goal-oriented process
B. Management is a continuous process
C. Management is a dynamic process
D. Management is a rigid process
32. Top management is concerned with formulation of _____.
A. Guidelines for supervisors
B. Long-term plans
C. Short-term plans
D. None of these
33. Managing Director is the position of _____ level of management in a large company.
A. Top B. Middle C. Lower D. Middle and Lower
34. _____ is a systematized body of knowledge that explains certain general truths or operation of general laws.
A. Science B. Art C. Profession D. Art and Profession both
35. This function of Management related to placing the right person at the right job is
A. Organizing B. Staffing C. Planning D. Controlling
36. This function of management relating to laying down the foundation for carrying out the other functions of management successfully is _____.
A. Organizing B. Staffing C. Planning D. Controlling
37. Organizing as a function of management involves deciding
A. What activities and resources are required C. Where will it be done
B. Who will do a particular task D. All of the above
38. Which of the following statements is not true for lower level management?
A. Analyze the business environment and its implications for the survival of the business.
B. Ensure the quality of the output
C. They strive to reduce the wastage of resources
D. They ensure that the safety standards are maintained within the organization.
39. Which of the following is a function of top level management?
A. Ensuring quality of output
B. Assigning necessary duties and responsibilities to their departments
C. Taking responsibility for all the activities of the business and its impact on the society
D. Ensuring that the safety standards are maintained within the organization.
40. Successful organizations do not achieve goals by chance but by following a deliberate process known as _____.
A. Planning B. Co-ordination C. Controlling D. Management
41. Management is essential for the organizations which are
A. Non-profit organizations B. Social organizations
B. Service organizations D. All of the above
42. Successful management ensures that
A. Goals are achieved with least cost C. Both of the above
B. Timely achievement of goals D. None of the above

43. Efficiency is concerned with
 A. Doing the right thing
 B. Doing things right
 C. Achieving end results
 D. None of the above
44. Effectiveness relates to
 A. Doing the right task
 B. Completing activities
 C. Achieving goals
 D. All of the above
45. Which one of the following is not an economic objective of the business?
 A. Social environment
 B. Survival
 C. Profit
 D. Growth
46. Which of the following management functions are closely related?
 A. Planning and organizing
 B. Staffing and control
 C. Planning and control
 D. Planning and staffing
47. The last function in the sequence, which culminates in the attainment of organization objectives, is _____.
 A. Organizing
 B. Coordinating
 C. Controlling
 D. Planning
48. The functions of management are:
 A. Planning, organizing, staffing, directing and controlling
 B. Planning, organizing, directing and controlling
 C. Planning, organizing, staffing and directing
 D. Planning, organizing, controlling and representation
49. Control function of management cannot be performed without _____.
 A. Planning
 B. Organizing
 C. Staffing
 D. Motivation
50. Which level of management is responsible for establishing a vision for the organization, developing broad plans and strategies, and directing subordinate managers?
 A. First level managers
 B. Middle managers
 C. Executive managers
 D. Second level managers
51. Which term best describes the process of obtaining, deploying, and utilizing a variety of essential resources to contribute to an organization's success?
 A. Planning
 B. Organizing
 C. Staffing
 D. Management
52. Find the odd one out _____.
 A. Board of directors
 B. Chief executive
 C. Foremen
 D. Shareholders
53. What is the need for Human Resource Planning?
 A. For undergoing an effective employee development program
 B. To represent a base for recruitment
 C. To represent a base for selection policy
 D. All of the above
54. What does a job specification include?
 A. Personal characteristics
 B. Physical characteristics
 C. Psychological Characteristics
 D. All of the above
55. What does quantitative technique refer to?
 A. Waiting line problems and the queuing theory
 B. Gaming, Game theory and Probability theory
 C. Models, simulation, and resource allocation technique
 D. All of the above
56. What is defined as a record of outcomes resulting from a particular job or an activity at a specific time?
 A. Evaluation
 B. Work function
 C. Performance
 D. None of the above
57. A/An _____ is a plan or a program scheme that helps to motivate an individual or a group to deliver outstanding performance.
 A. Promotion Scheme
 B. Incentive Scheme
 C. Reward
 D. None of the above

58. A/An _____ is considered to be a vertical move in terms of rank and responsibilities.
 A. Appraisal B. Reward C. Increment D. Promotion
59. What do you understand by the written record of duties, responsibilities, and conditions of a job?
 A. Job enrichment B. Job ranking C. Job enlargement D. Job description
60. Which of the following pairs in the given sequence represents the initial as well as the final step incurred in the T&D program?
 A. Evaluating T&D program followed by implementing it
 B. Determining the need for the T&D program and then evaluating the T&D program
 C. Determining the need for the T&D program followed by designing the T&D program itself
 D. Designing the T&D program and then implementing it
61. Which of the following is enhanced by 360-degree feedback?
 B. Managerial decisions B, HR decisions C. HRD D. All of the above
62. Which of the following is not a selection technique?
 A. Psychometric testing C. Ability Test
 B. Interviews D. Performance Appraisal
63. Arrange the following staffing procedure in the correct sequence:
 (i) Determining sources of personnel supply
 (ii) Preparing personnel specifications
 (iii) Selection of personnel
 (iv) Determining Personnel Characteristics
 A. (ii), (i), (iv), and (iii)
 B. (i), (ii), (iii), and (iv)
 C. ii), (i), (iii), and (iv)
 D. (ii), (iii), (i), and (iv)
64. The authoritarian leadership style goes with
 A. Theory Y C. Theory A
 B. Theory Z D. Theory X
65. The scope of HRM does not include _____?
 A. Retirement of employees C. Training employees
 B. Manpower planning D. Maintenance of accounts
66. Human Resource Management is _____?
 A. Employee oriented C. Legally oriented
 B. Employer oriented D. None of the above
67. The procedures for determining the duties and skill requirements of a job and person who should be hired for it is _____?
 A. Job analysis B. Job design C. Job recruitment D. Job description
68. The process of developing the applicant's pool for job openings in an organization is called _____?
 A. Hiring B. Recruitment C. Selection D. Retention
69. When an interviewer prepares a list of questions in advance and asks those question to the candidate to obtain the information from him; it is called a _____?
 A. Structured interview C. Systematic type interview
 B. Well-organized interview D. None of the above

70. An employee's salary paid for his skills and knowledge is called _____.
A. Competency based pay C. Internship based salary
B. Time based pay D. Training based pay
71. Training helps to improve and give higher _____.
A. Productivity B. Mobility C. Viability D. Vitality
72. An individual who starts, creates and manages a new business can be called _____.
A. A leader B. A manager C. A professional D. An entrepreneur
73. Which could provide an individual with the motivation to start a new business venture?
A. The financial rewards C. Risk taking
B. A desire to be independent D. All of the above
74. Why are small businesses important to a country's economy?
A. They give an outlet for entrepreneurs
B. They can provide specialist support to larger companies
C. They can be innovators of new products
D. All the above
75. A business arrangement where one party allows another party to use a business name and sell its products or services is known as _____.
A. A cooperative C. An owner-manager business
B. A franchise D. A limited company
76. Which of the following is the reason for business failure?
A. Lack of market research C. Poor management
B. Poor financial control D. All of the above
77. The use of informal networks by entrepreneurs to gather information is known as
A. Secondary research C. Informal Parameters
B. Entrepreneurial networking D. Marketing
78. A new venture's business plan is important because _____.
A. It helps to persuade others to commit funding to the venture
B. Can help demonstrate the viability of the venture
C. Provides a guide for business activities by defining objectives
D. All the above
79. Innovation can best be defined as _____.
A. the generation of new ideas C. The opposite of creativity
B. the evolution of new ideas D. The successful exploitation of new ideas
80. Which of these statements best describes the context for entrepreneurship?
A. Entrepreneurship takes place in small businesses
B. Entrepreneurship takes place in large businesses
C. Entrepreneurship takes place in a wide variety of contexts
D. Entrepreneurship does not take place in social enterprises
81. Which of the following is least likely to influence the timing of new business births?
A. Government policies C. Consumer expenditure
B. Profitability D. Weather conditions

83. To provide financial assistance to entrepreneurs the government has set up a number of _____.

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94. Marketing barriers can be divided into two categories are –
A. Macroeconomic C. Tariff and non-tariff
B. Micro economic D. Corruption
95. GATT is acronym for _____.
A. General agreement on tariff and trade
B. Government act on tariff & trade
C. Government act on trade technology
D. None of the above
96. Trade unions and politicians to attack imports and international trade in the name of _____.
A. Keeping money at home
B. Enhancing national security
C. Equalizing cost and price
D. Job protection
97. The most generic name to describe corporations operating around the world.
A. TNC B. MNE C. MNC D. Global Corporation
98. A _____ is a tax on goods upon importation.
A. Tariff B. Non-tariff C. Legislation D. Quotas
99. It is the unauthorized copying and production of a product.
A. Patent B. Trade secret C. Counterfeiting D. Copyrights
100. The supreme body to settle international disputes is the International Court of Justice, situated in _____.
A. The Hague, Holland C. Beverley Hills, California
B. Sadza, Zimbabwe D. The Middle East
101. _____ is the most traditional and well-established form of operating in foreign markets.
A. Importing C. Country centered
B. Exporting D. None of the above
102. _____ is the performance of business activities designed to plan, price, promote, and direct the flow of a company's goods and services to consumers or users in more than one nation for a profit.
A. Global strategy
B. Marketing
C. Marketing concept
D. Regional marketing concept
E. International marketing
103. Which of the following is the most critical difference between domestic marketing and international marketing?
A. The environment in which marketing plans must be implemented
B. The different concepts of marketing
C. The change in marketing goals
D. The difference in technological standards
E. The change in corporate objectives

104. Which country has more retailers than the rest of the world combined?
A. Japan B. China C. India D. Germany
105. The process of international market selection is typically done by using _____ to enable a quick and relatively low-cost overview of as many markets as possible.
A. Quantitative data C. Primary data
B. Secondary data D. All of the above
106. All of the following are actual modes of market-entry EXCEPT:
A. Licensing C. Franchising
B. Standardization D. Exporting
107. _____ are a partnership of two or more companies that join forces to create a separate legal entity.
A. International Joint Ventures C. Mergers and Acquisitions
B. International Consortia D. Co-Branding
108. SO 9000 concerns the registration and certification of a manufacturer's _____.
A. Goods B. Services C. Quality systems D. MIS
109. How do the vast majority of services enter a foreign market?
A. Exporting C. Brokers
B. Importing D. Licensing, Franchising, or Direct Investment
110. There are complaints towards globalization. Which is not one of them?
A. unhealthy dietary patterns C. Unsustainable consumption
B. legal rights D. Loss of local Culture
111. A _____ exists when various companies producing similar products or services work together to control their markets
A. Inflation period B. Deflation period C. Cartel D. Service
112. Any patents, trademarks, copyright or trade secrets held by the entrepreneur is known as _____
A. Disclosure document C. Intellectual property
B. Patent D. None of the mentioned
113. Personal characteristics to be a successful entrepreneur includes
A. Understanding environment C. Encourage open discussion
B. Creating management options D. All of the above
114. International entrepreneurship is
A. Licensing C. Both of the mentioned options
B. Exporting D. None of the two mentioned
115. Hindrance for going in the international business is known as
A. Synergy B. Turn key point C. Trade barrier D. Minority interest
116. set of reasons for engaging in a particular behavior, especially human behavior is known as _____.
A. Values B. Vision C. Entrepreneurship D. Motivation

117. A business where an individual is both the owner and conductor of the business affairs is called _____.
A. Sole Proprietorship B. Partnership C. Corporation D. None of the above
118. In _____, the entrepreneur has the right to sell any assets.
A. Proprietorship C. Limited Liability Company
B. Partnership D. None of the given options
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121. _____ is what the "W" in the SWOT analysis stands for.
A. Wedge B. Work/life C. Worth of Business D. Weakness
122. An entrepreneur's primary motivation for starting a business is
A. To make money B. To be independent C. To be famous D. To be powerful
123. Entrepreneurs are best as _____.
A. Managers B. Venture capitalists C. Planners D. Doers
124. _____ involves having a foreign purchaser in the local market or using an export management firm.
A. Direct Exporting C. Management Contracts
B. Indirect Exporting D. Turn-Key Projects
125. The _____ measures the payments that flow between any individual country and all other countries.
a) International Business C. Balance of Payment
b) Economies of Scales D. None of the given options
126. The _____ plan shows whether the business is economically feasible or not.
A. Financial B. Business C. Economic D. Marketing
127. In which of the following, the ownership of venture is reflected by ownership of shares of stock?
A. Partnership C. Corporation
B. Limited partnership D. Proprietorship
128. Secondary data can be obtained from all of the following sources, except _____.
A. Internet B. Magazine C. Bureau of statistics D. Focus group
129. All of the following are important elements of the financial data and projections section of a business plan except:
A. SWOT analysis C. Break-even analysis
B. Projected income statements D. Cost control

130. Which of the following is NOT an important characteristic when writing a business plan?

- A. Clear, realistic financial projections
- B. Detailed market research
- C. Brief summary since the investor is more interested in the details in the business plan.
- D. Proof of vision

Model Exam 1

Answer Sheet

Name _____ Id. No. _____

1	2	3	4	5	6	7	8	9	10
11	12	13	14	15	16	17	18	19	20
21	22	23	24	25	26	27	28	29	30
31	32	33	34	35	36	37	38	39	40
41	42	43	44	45	46	47	48	49	50
51	52	53	54	55	56	57	58	59	60
61	62	63	64	65	66	67	68	69	70
71	72	73	74	75	76	77	78	79	80
81	82	83	84	85	86	87	88	89	90
91	92	93	94	95	96	97	98	99	100
101	102	103	104	105	106	107	108	109	110
111	112	113	114	115	116	117	118	119	120
121	122	123	124	125	126	127	128	129	130